

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 12

Honorable Nahal Iravani-Sani, Presiding

Courtroom Clerk, Ryan Nguyen
191 North First Street, San Jose, CA 95113
Telephone: (408) 882-2230

DATE: 08/12/2026 TIME: 9:00 A.M. and 9:01 A.M.

Welcome to Department 12. The Court's tentative rulings for the Law & Motion Calendar are below.

TO CONTEST THE RULING: Before 4:00 p.m. ON THE DAY PRIOR TO THE HEARING, YOU MUST NOTIFY:

- (1) The Court - by calling (408) 808-6856 and
- (2) Opposing side - by phone or email that you plan to appear and contest the ruling.

The Court will not hear argument and the tentative ruling will be adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.D.)

****Please indicate the specific issue being contested when calling the Court and counsel****

IN-PERSON APPEARANCES: Department 12 is a fully open courtroom conducting in-person hearings on the days it has scheduled matters. The Court strongly encourages in-person appearances for any **contested** law-and-motion matter. If appearing remotely, **VIDEO IS REQUIRED**. Audio only appearances are not permitted absent exceptional circumstances. (Civil Local Rule 5.B.)

REMOTE APPEARANCES: Remote appearance is governed by Civil Local Rule 5 and General Local Rule 9. Department 12 uses UDC as its remote platform.

The Court encourages in-person appearance, but if appearing remotely, **VIDEO IS REQUIRED**. Audio only appearances are not allowed absent exceptional circumstances. (Civil Local Rule 5.B.)

TELEPHONIC APPEARANCE IS PROHIBITED, unless the Court grants an exception. (Civil Local Rule 5.A.) "CourtCall" is no longer available.

RECORDING IS PROHIBITED: State and local court rules prohibit recording court proceedings without a court order. This prohibition applies to both in-person and remote appearances.

COURT REPORTERS ARE NOT PROVIDED: If any party wishes to have a court reporter, the appropriate forms and process may be found on the court's website
https://www.scsccourt.org/general_info/court_reporters.shtml.

SCHEDULING MOTION HEARINGS: Please reserve your next hearing date using Court Schedule—an online scheduling tool on the Santa Clara County court website.

<https://reservations.scsccourt.org> or call 408-882-2430 between 8:30 a.m. and 12:30 p.m. (Mon.-Fri.) You must then file your motion papers no more than five court days after reserving the hearing date, or the date will be released to other cases.

FINAL ORDERS: The prevailing party shall prepare the order unless otherwise ordered. (See California Rule of Court 3.1312.) **Please Note:** Any proposed orders must be submitted with the Judicial Council Form EFS-020 Proposed Order (Cover Sheet). Please include the date, time, department and line number.

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DATE: 08/12/2026 TIME: 9:00 A.M. and 9:01 A.M.

LINE #	CASE #	CASE TITLE	RULING
LINE 1	23CV413944	Xiufeng Xie v. Jane Doe; Simorphy Design and Investment, et al.	MOTION TO COMPEL Please Ctrl click (or scroll down to) Line 1
LINE 2	23CV416938	Bharat DePatel v. Dilip Patel et al	MOTION FOR SUMMARY JUDGEMENT/ADJUDICATION Please Ctrl click (or scroll down to) Line 2
LINE 3	25CV456689	Richard Chamberlain v. City of Campbell et al.	MOTION TO COMPEL
LINE 4	25CV464505	JP Morgan Chase Bank v. Holly Reyes	MOTION TO VACATE Please Ctrl click (or scroll down to) Line 4
LINE 5	25CV467320	Thanh Trun Nguyen V Phuong Anh Nguyen	DEFAULT PROVE-UP Continued to August 30, 2026 at 1:30 p.m. in Department 18
LINE 6	25CV474909	Brendan Patrick McCloskey v. City of San Jose et al	MOTION TO DISMISS Please Ctrl click (or scroll down to) Line 6
LINE 7	25CV475239	Anusha Ramachandra v. Surakshith Narasegowda	MOTION TO STAY PROCEEDINGS & DECLARATORY RELIEF Please Ctrl click (or scroll down to) Line 7
LINE 8	26CV487361	Guideone Insurance Co v. Quickbooks Online Payroll, Inc.	PETITION TO COMPEL ARBITRATION & STAY PROCEEDINGS Please Ctrl click (or scroll down to) Line 8
LINE 9 LINE 10	26CV491068	Lan Lam v. Sabri Gurbuz	DEMURRER & MOTION TO STRIKE Demurrer to FAC is Unopposed and Sustained with 15 days leave to Amend; Motion to Strike is Moot

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DATE: 08/12/2026 TIME: 9:00 A.M. and 9:01 A.M.

9:01	26CV489443	Jeff Suarez v. Angelina Mendez	MOTION TO WITHDRAW AS ATTORNEY Attorney Christopher Goodroe and Wilshire Law Firm, attorneys for Plaintiff move under Code of Civil Procedure 284(2) for an Order to Be Relieved as Counsel. No Opposition received. As the Motion complies with applicable law and is duly served, the Motion is hereby GRANTED. The Court will sign the Proposed Order that has already been prepared and e-filed.

- 00000

Calendar Line 1

Case Name: *Xiufeng Xie v. Jane Doe; Simorphy Design and Investment et al.*

Case No.: 23CV413944

MOTION TO COMPEL**1. PROCEDURAL BACKGROUND**

On December 23, 2025, Defendant and Cross-Complainant Jane Doe (“Defendant”) served Plaintiff and Cross-Defendant Xiufeng Xie (“Plaintiff”) with Form Interrogatories, Special Interrogatories, Requests for Production of Documents, and Requests for Admission, Set One.

After Plaintiff was granted an extension, Plaintiff served responses on February 13, 2026. The parties thereafter engaged in meet-and-confer efforts from February 17 through March 12, 2026, including written correspondence and a telephone conference. The parties agreed in writing to extend the deadline for Defendant’s motion to compel to April 30, 2026. Plaintiff subsequently served amended responses to certain Requests for Production on April 9, 2026.

Defendant filed the present motion on April 30, 2026. Plaintiff filed an opposition on July 30, 2026. Defendant filed a reply on July 30, 2026 and another reply on August 5, 2026. The court declines to consider the supplemental reply. The applicable briefing schedule does not provide for a second reply as a matter of right, and Defendant did not obtain leave to file additional briefing. The matter is now before the Court.

2. APPLICABLE LAW

A party may move for an order compelling further responses to interrogatories when an answer is evasive or incomplete or an objection is without merit or too general. (Code Civ. Proc., § 2030.300, subd. (a).) A party may move for further responses to a demand for inspection when a statement of compliance is incomplete, a representation of inability to comply is inadequate or evasive, or an objection is without merit or too general. (Code Civ. Proc., § 2031.310, subd. (a).) A party may move for a further response to a request for admission when an answer is evasive or incomplete or an objection is without merit or too general. (Code Civ. Proc., § 2033.290, subd. (a).)

Discovery responses must be as complete and straightforward as the information reasonably available to the responding party permits. (Code Civ. Proc., §§ 2030.220, subd. (a), 2031.210, 2033.220.) Evasive or incomplete responses are treated as failures to respond. (See Code Civ. Proc., §§ 2030.220, subd. (a), 2033.220.)

A motion to compel further responses must also comply with the applicable procedural requirements. Among other things, California Rules of Court, rule 3.1345 requires a separate statement for motions to compel further responses to interrogatories, inspection demands, and requests for admission. The separate statement must be full and complete and must provide all information necessary to understand each disputed discovery request and response without requiring the Court to consult another document. It must include the text of the request, the text of each response or objection, and the factual and legal reasons for compelling a further response as to each matter in dispute. Material may not be incorporated by reference. (Cal.

Rules of Court, rule 3.1345(c).) The requirement is substantive, not merely stylistic. In *Mills v. U.S. Bank* (2008) 166 Cal.App.4th 871, 893, the Court of Appeal held that the trial court was within its discretion to deny a motion to compel where the separate statement grouped discovery requests, truncated the responses, and improperly relied upon other documents to supply the full requests and responses.

The motion must also be brought within the applicable 45-day period, unless the parties agree in writing to a later date. (Code Civ. Proc., §§ 2030.300, subd. (c), 2031.310, subd. (c), 2033.290, subd. (c).) The 45-day period runs from service of the response or any supplemental response.

3. SEPARATE STATEMENT

Plaintiff contends that Defendant's motion should be denied because the Separate Statement fails to comply with California Rules of Court, rule 3.1345(c). The Court agrees.

Rule 3.1345(c) requires a separate statement that is "full and complete so that no person is required to review any other document in order to determine the full request and the full response." The rule further requires, for each discovery request at issue, the text of the request, the text of each response or objection, and a statement of the factual and legal reasons for compelling a further response. Material may not be incorporated into the separate statement by reference.

Here, the Separate Statement does not consistently reproduce Plaintiff's actual discovery requests and responses. Instead, as Plaintiff demonstrates, Defendant in multiple instances summarizes or selectively quotes Plaintiff's responses rather than setting them out in full. The Separate Statement likewise groups multiple Requests for Production together and does not set forth the text of each individual demand and each corresponding response.

This is not a minor formatting defect. The Court must be able to determine, from the Separate Statement itself, precisely what was asked, what was answered or objected to, and why the response is allegedly deficient. The Separate Statement does not satisfy that requirement.

Mills v. U.S. Bank, supra, 166 Cal.App.4th at page 893, is instructive. There, the moving party grouped discovery requests and provided only portions of the responses, while relying on other documents for the complete responses. The Court of Appeal concluded that this failed to comply with the separate-statement requirement and held that the trial court was within its discretion to deny the motion on that basis.

The same problem exists here. Although the Court recognizes Defendant's substantial meet-and-confer efforts and the extensive factual material submitted in support of the motion, those efforts do not cure a deficient separate statement. The separate statement is intended to permit the Court to adjudicate each disputed discovery response efficiently and without reconstructing the dispute from the underlying discovery, declarations, and exhibits.

Accordingly, the Court exercises its discretion to deny the motion based on Defendant's failure to comply with California Rules of Court, rule 3.1345(c). The Court therefore does not reach the substantive merits of the individual discovery disputes.

4. TIMELINESS

The motion is timely. Plaintiff served the original responses on February 13, 2026, and the parties agreed in writing to extend Defendant's deadline to April 30, 2026. Defendant filed the motion on April 30, 2026.

Plaintiff also served amended responses to certain Requests for Production on April 9, 2026. To the extent Defendant challenges those amended responses, the motion was filed within 45 days of their service. Accordingly, the Court does not find the motion untimely on the present record. (Code Civ. Proc., § 2031.310, subd. (c).)

5. SANCTIONS

The Discovery Act generally requires monetary sanctions against a party who unsuccessfully makes or opposes a motion to compel further responses unless the Court finds that the party acted with substantial justification or that other circumstances make the imposition of sanctions unjust. (Code Civ. Proc., §§ 2030.300, subd. (d), 2031.310, subd. (h), 2033.290, subd. (d).)

Here, the motion is being denied because of a procedural deficiency in the Separate Statement rather than because the Court has determined that Defendant's underlying discovery positions lack merit. The record also reflects substantial meet-and-confer efforts, a written extension of the motion deadline, and genuine disputes concerning the adequacy of Plaintiff's discovery responses.

Under these circumstances, the Court finds that Defendant acted with substantial justification in bringing the motion. The Court likewise finds that Plaintiff was substantially justified in opposing it. Accordingly, no monetary sanctions are imposed.

DISPOSITION

Defendant Jane Doe's Motion to Compel Further Responses to Special Interrogatories, Set One; Form Interrogatories, Set One; Requests for Production of Documents, Set One; and Requests for Admission, Set One is DENIED WITHOUT PREJUDICE for failure to comply with California Rules of Court, rule 3.1345(c).

The Court does not reach the substantive merits of the disputed discovery responses.

No monetary sanctions are imposed.

Plaintiff to prepare the final proposed order, accompanied by the necessary Form EFS-020 within 7 days of the hearing.

Calendar Line 2

Case Name: *Bharat Patel v. Dilip Patel, et al.*

Case No.: 23-CV-416938

Motion for Summary Judgment, or in the Alternative, Summary Adjudication to the Cross-Complaint of Cross-Complainants Dilip Patel, Devyani Patel, and Gaurang J. Patel by Cross-Defendant Hoge, Fenton, Jones & Appel, Inc.

Factual and Procedural Background

This is a cross-action for professional negligence and related claims brought by cross-complainants Dilip Patel (“Dilip”), Devyani Patel (“Devyani”), and Gaurang J. Patel (“Gaurang”), individually and derivatively on behalf of Krishna Mountain View, Inc. (“Krishna”) (collectively, “Cross-Complainants”), against cross-defendant Hoge, Fenton, Jones & Appel, Inc. (“Hoge Fenton”).¹

According to the cross-complaint, the Cross-Complainants and plaintiff/cross-defendant Bharat Patel (“Bharat”) are the four sole shareholders of nominal defendant and nominal cross-defendant Krishna.² (Cross-Complaint at ¶ 10.) Krishna’s sole business is the ownership and operation of a Hampton Inns hotel, which is a Hilton franchisee, located in Mountain View, CA. (Ibid.) Cross-Complainants and Bharat all hold equal, 25% shares in Krishna. (Ibid.) Devyani and Gaurang are essentially silent partners and perform few or no duties for Krishna. (Ibid.) Dilip however performs the vast majority of the work, though Bharat is also personally involved in the operation of Krishna. (Ibid.)

In August 2022, Dilip contacted Hoge Fenton regarding Krishna. (Cross-Complaint at ¶ 11.) Dilip wanted to be compensated in some way by Krishna for his work and asked Hoge Fenton if they could effectuate some kind of legal mechanism by which he could be compensated for his past, present, and future work. (Ibid.) In response, Hoge Fenton prepared the following legal documents: (1) an employment agreement concerning Dilip’s salary for work going forward; and (2) a release agreement, compensating Dilip for his work over the past approximately twenty years (both documents collectively known as the “Hoge Fenton Documents”). (Id. at ¶ 12.)

Cross-Complainants further allege they relied on Hoge Fenton for legal advice based on an implied attorney-client relationship with the law office. (Cross-Complaint at ¶¶ 15, 28.) Hoge Fenton allegedly failed to provide adequate legal advice to Cross-Complainants and was negligent in the preparation of the Hoge Fenton Documents. (Id. at ¶¶ 29-30.) On May 26, 2023, Bharat filed a complaint in the underlying action against Dilip, Devyani, Gaurang, and Krishna (nominal defendant) alleging causes of action for: (1) breach of fiduciary duty; (2) abuse of control; (3) corporate waste; and (4) unjust enrichment.

¹ Because Cross-Complainants share a surname, the court refers to them individually by their first name for purposes of clarity. No disrespect is intended. (See *Rubenstein v. Rubenstein* (2000) 81 Cal.App.4th 1131, 1136, fn. 1.)

² Cross-Complainants Dilip and Devyani are married and Gaurang is Devyani’s brother. (Cross-Complaint at ¶ 13.)

On July 10, 2024, Cross-Complainants filed the operative cross-complaint against Hoge Fenton setting forth causes of action for: (1) implied/equitable indemnity; (2) contribution; and (3) professional negligence.

On September 3, 2024, Hoge Fenton filed an answer to the cross-complaint asserting a general denial and affirmative defenses.

On February 20, 2026, a partial conditional settlement was filed in the underlying action.

On March 12, 2026, Hoge Fenton filed the motion presently before the court, a motion for summary judgment, or in the alternative, summary adjudication to the cross-complaint. Hoge Fenton filed a request for judicial notice in conjunction with the motion. Cross-Complainants filed written opposition. Hoge Fenton filed reply papers and evidentiary objections.

Trial is scheduled for April 12, 2027.

Motion for Summary Judgment, or in the Alternative, Summary Adjudication

Hoge Fenton argues there is no triable issue of material fact as to the claims in the cross-complaint and thus judgment should be entered as a matter of law. In the alternative, Hoge Fenton moves for summary adjudication of the first, second, and third causes of action.

Timeliness

In opposition, Cross-Complainants argue the motion should be denied as Hoge Fenton did not comply with the mandatory notice requirements set forth in Code of Civil Procedure section 437c, subdivision (a)(2).

“Notice of the motion and supporting papers shall be served on all other parties to the action at least 81 days before the time appointed for hearing. If the notice is served by mail, the required 81-day period of notice shall be increased by 5 days if the place of address is within the State of California, 10 days if the place of address is outside the State of California but within the United States, and 20 days if the place of address is outside the United States. If the notice is served by facsimile transmission, express mail, or another method of delivery providing for overnight delivery, the required 81-day period of notice shall be increased by two court days.” (Code Civ. Proc., § 437c, subd. (a)(2).)

“[A] trial court does not have authority to shorten the minimum notice period for summary judgment hearings absent the express consent of the parties.” (*Urshan v. Musicians’ Credit Union* (2004) 120 Cal.App.4th 758, 768 (*Urshan*).) Also, a trial court abuses its discretion by continuing the summary judgment hearing in an effort to provide the required statutory notice. (See *Robinson v. Woods* (2008) 168 Cal.App.4th 1258 [trial court abused its discretion by continuing noticed hearing for only four days, in an effort to provide 80 days’ notice].) Moreover, “waiver of the right to the statutorily mandated minimum notice period for summary judgment hearings should not be inferred from silence.” (*Urshan, supra*, 120 Cal.App.4th at p. 768.)

According to court records, Hoge Fenton filed and served its motion for summary judgment with a hearing date set for August 12, 2026. Hoge Fenton thereafter moved ex parte to

advance the hearing date to June 5, 2026. As court was not in session the week of June 3, 2026, the court denied ex parte relief and scheduled the hearing for May 29, 2026, a date in violation of the 81-day statutory notice for summary judgment motions. Thus, to the extent there is any violation of the notice period, the fault is attributable to the court, not Hoge Fenton. And the court's calendaring error is not a basis for denying the motion for summary judgment where, as here, it is timely filed. (See *Cole v. Super. Ct.* (2022) 87 Cal.App.5th 84, 88 [“ ‘A trial court may not refuse to hear a summary judgment motion filed within the time limits of [Code of Civil Procedure] section 437c. [Citation.] Local rules and practices may not be applied so as to prevent the filing and hearing of such a motion.’ [Citations.]”].) Therefore, the court addresses the instant motion for summary judgment, or in the alternative, summary adjudication on its merits.

Request for Judicial Notice

Hoge Fenton's request for judicial notice is GRANTED. (Evid. Code, § 452, subd. (d); see *Stepan v. Garcia* (1974) 43 Cal.App.3d 497, 500 [the court may take judicial notice of its own file].)

Cross-Complainants' Evidentiary Objections

“In determining if the papers show that there is no triable issue as to any material fact, the court shall consider all of the evidence set forth in the papers, except the evidence to which objections have been made and sustained by the court...” (Code Civ. Proc., § 437c, subd. (c).)

“In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion. Objections to evidence that are not ruled on for purposes of the motion shall be preserved for appellate review.” (Code Civ. Proc., § 437c, subd. (q).)

Written evidentiary objections must be made in a separate document and must not be re-stated or re-argued in the separate statement. (Cal. Rules of Court, rule 3.1354(b).) Objections must identify the specific item of evidence that is objectionable. (Ibid.)

In addition, evidentiary objections must be accompanied by a proposed order that complies with the requirements set forth in California Rules of Court, rule 3.1354(c). The rule requires an objecting party to file two separate documents, objections and a separate proposed order, both in one of the approved formats set forth in the rule. (See Cal. Rules of Court, rule 3.1354(b) and (c).) Here, Cross-Complainants asserted objections in response to Hoge Fenton's separate statement which is not permitted by the rules of court. (See Cross-Complainants' Disputed Facts at Nos. 21, 26, 28, 30, 46, 50, 71, 75-80, 95-96, 100, 121, 125-130, 145-147, 150.)

Nor do Cross-Complainants submit a separate document or proposed order for the objections in compliance with the rules of court.

Therefore, the court declines to rule on the objections based on the above-described defects. (See *Vineyard Spring Estates v. Super. Ct.* (2004) 120 Cal.App.4th 633, 642 [trial courts only have duty to rule on evidentiary objections presented in proper format]; see also *Hodjat v. State*

Farm Mutual Automobile Ins. Co. (2012) 211 Cal.App.4th 1, 8 [trial court did not abuse its discretion in refusing to rule on improperly formatted evidentiary objections].)

Hoge Fenton’s Evidentiary Objections

The court declines to consider the evidentiary objections submitted by Hoge Fenton with the reply papers as they are not relevant to resolving issues raised by the motion for reasons explained below. (Code Civ. Proc., § 437c, subd. (q).)

Legal Standard

Any party may move for summary judgment. (Code Civ. Proc., § 437c, subd. (a); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843 (*Aguilar*).) “The motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law.” (Code Civ. Proc., § 437c, subd. (c).) “The object of the summary judgment procedure is ‘to cut through the parties’ pleadings’ to determine whether trial is necessary to resolve their dispute. [Citation.]” (*Spinks v. Equity Residential Briarwood Apartments* (2009) 171 Cal.App.4th 1004, 1020 (*Spinks*).)

“[T]he party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact...” (*Aguilar, supra*, 25 Cal.4th at p. 850.) “A prima facie showing is one that is sufficient to support the position of the party in question.” (*Id.* at p. 851.)

A defendant moving for summary judgment may satisfy its initial burden either by producing evidence of a complete defense or by showing the plaintiff’s inability to establish a required element of the case. (*Spinks, supra*, 171 Cal.App.4th at p. 1021.)

If a moving defendant makes the necessary initial showing, the burden of production shifts to the plaintiff to make a prima facie showing of the existence of a triable issue of material fact. (Code Civ. Proc., § 437c, subd. (p)(2); see *Aguilar, supra*, 25 Cal.4th at p. 850.)

A triable issue of material fact exists “if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (*Aguilar, supra*, 25 Cal.4th at p. 850, fn. omitted.) If the plaintiff opposing summary judgment presents evidence demonstrating the existence of a disputed material fact, the motion must be denied. (*Id.* at p. 856.)

Throughout the process, the trial court “must consider all of the evidence and all of the inferences drawn therefrom.” (*Aguilar, supra*, 25 Cal.4th at p. 856.) The moving party’s evidence is strictly construed, while the opponent’s is liberally construed. (*Id.* at p. 843.)

Similarly, “[a] party may seek summary adjudication on whether a cause of action, affirmative defense, or punitive damages claim has merit or whether a defendant owed a duty to a plaintiff. [Citation.] ‘A motion for summary adjudication...shall proceed in all procedural respects as a motion for summary judgment.’ [Citation.]” (*California Bank & Trust v. Lawlor* (2013) 222 Cal.App.4th 625, 630.)

“[S]ummary judgment (or summary adjudication) is a drastic remedy and should be used with caution. [Citation.] Because summary judgment is a drastic procedure all doubts as to the propriety of granting a motion for summary judgment should be resolved in favor of the party opposing the motion. [Citations.]” (*Tully v. World Savings & Loan Assn.* (1997) 56 Cal.App.4th 654, 660; see *Kernan v. Regents of University of California* (2022) 83 Cal.App.5th 675, 684 [“The drastic remedy of summary judgment may not be granted unless reasonable minds can draw only one conclusion from the evidence.”].)

Third Cause of Action: Professional Negligence

To recover against an attorney, a plaintiff (or cross-complainant) must prove each of these elements of his or her cause of action for professional negligence: (1) the duty of the professional to use such skill, prudence, and diligence as other members of the profession commonly possess and exercise; (2) a breach of that duty; (3) a proximate causal connection between the negligent conduct and the resulting injury; and (4) actual loss or damage resulting from the professional’s negligence. (*Hecht, Solberg, Robinson, Goldberg & Bagley LLP v. Super. Ct.* (2006) 137 Cal.App.4th 579, 590.)

On summary judgment, “the pleadings frame the issues to be resolved. ‘ “The purpose of a summary judgment [adjudication] proceeding is to permit a party to show that material factual claims arising from the pleadings need not be tried because they are not in dispute.” [Citation.] “The function of the pleadings in a motion for summary judgment [adjudication] is to delimit the scope of the issues: the function of the affidavits or declarations is to disclose whether there is any triable issue of fact within the issues delimited by the pleadings.” [Citations.]’ [Citations.]” (*Snatchko v. Westfield LLC* (2010) 187 Cal.App.4th 469, 477.)

In the third cause of action, Cross-Complainants allege an attorney-client relationship had been established between them on the one hand and Hoge Fenton on the other such that an implied attorney-client relationship was in fact formed. (Cross-Complaint at ¶ 28.) Hoge Fenton allegedly failed to provide adequate legal advice to Cross-Complainants, including negligently preparing the Hoge Fenton Documents, which was a substantial factor in causing harm to Cross-Complainants. (*Id.* at ¶¶ 29-30.)

On summary judgment, Hoge Fenton argues there is no duty to support professional negligence as there was no implied attorney-client relationship between Hoge Fenton and Cross-Complainants.

“A key element of any action for professional malpractice is the establishment of a duty by the professional to the claimant.” (*Goldberg v. Frye* (1990) 217 Cal.App.3d 1258, 1267.) “No formal contract or arrangement or attorney fee is necessary to create the relationship of attorney and client. It is the fact of the relationship which is important.” (*Farnham v. State Bar* (1976) 17 Cal.3d 605, 612.)

An attorney-client relationship may be implied rather than express. “Although the relationship usually arises from an express contract between the attorney and the client, it may also arise by implication. [Citations.] ‘ “Neither contractual formality nor compensation nor expectation of

compensation is required.” ’ [Citations.] [¶] The relationship may arise *without any direct dealings between the client and the attorney.*” (*Streit v. Covington & Crowe* (2000) 82 Cal.App.4th 441, 444-445, italics added.) “It is the intent and conduct of the parties which is critical to the formation of the attorney-client relationship.” (*Hecht v. Super. Ct.* (1987) 192 Cal.App.3d 560, 565.)

Also, “the general rule is that ‘when “representing a corporation, an attorney’s client is the corporate entity, not individual shareholders or directors, and the individual shareholders or directors cannot presume that corporate counsel is protecting their interests.” ’ [Citation.] ‘An attorney representing a corporation does not become the representative of its stockholders merely because the attorney’s actions on behalf of the corporation also benefit the stockholders.’ [Citation.]” (*De Meo v. Cooley* (2025) 115 Cal.App.5th 17, 30 (*De Meo*).)

That said, “in the absence of an *express* relationship, in some instances an implied attorney-client relationship may arise between an attorney and individual constituent of the entity that the attorney represents.” (*De Meo, supra*, 115 Cal.App.5th at p. 30.)

“When assessing the existence of an implied attorney-client relationship between a corporate attorney and the entity’s individual members, the key inquiry is whether ‘the totality of the circumstances’ implies an agreement that the corporate attorney will not act adversely to the individual shareholder’s interests with respect to the issues in dispute. [Citation.] Stated differently, we must assess whether the parties conducted themselves in a way that would reasonably cause a shareholder to believe the attorney would protect the shareholder’s individual interests.” (*Sprengel v. Zbylut* (2019) 40 Cal.App.5th 1028, 1047 (*Sprengel*).)

And, “a client’s subjective belief that an attorney-client relationship exists, standing alone, cannot create such a relationship, or a duty of care owed by the attorney to that plaintiff. [Citation.] This is because a plaintiff cannot unilaterally establish an attorney-client relationship, and its hindsight ‘beliefs’ that such a relationship existed are thus legally irrelevant. [Citation.]” (*Zenith Ins. Co. v. O’Connor* (2007) 148 Cal.App.4th 998, 1010.)

“Duty, being a question of law, is particularly amenable to resolution by summary judgment.” (*Parsons v. Crown Disposal Co.* (1997) 15 Cal.4th 456, 465.)

Here, Hoge Fenton submits the following material facts in its separate statement in support of its argument that there was no implied attorney-client relationship with Cross-Complainants for purposes of this action:

- Krishna (or KMV) retained Hoge Fenton in March 2016 for employment law advice and counsel regarding a former employee’s potential employment claims and demand for personnel records.
- In June 2017, Krishna retained Hoge Fenton regarding stock purchase agreements and tenants in common conversion.
- Dilip signed engagement letters on behalf of Krishna for both the March 2016 and June 2017 transactions involving Hoge Fenton’s representation of Krishna.
- Krishna designated Dilip as the client contact for the company.
- In either Q3 or Q4 of 2022, Dilip retained attorney Paul Avila who provided legal services to him for approximately two months.

- Hoge Fenton drafted an Employment Agreement and General Release Agreement pertaining to Dilip's compensation.
- Gaurang did not have any communications (email/telephone) or in person meeting with Hoge Fenton regarding Dilip's employment agreements.
- Devyani has not never: (1) spoken with a Hoge Fenton attorney; (2) sent or received an email from anybody at Hoge Fenton; and (3) paid fees to Hoge Fenton.
- Krishna paid the fees Hoge Fenton charged for preparing the General Release Agreement and Employment Agreement.
- Hoge Fenton sent attorney Gordon Finwall who filed an answer on behalf of Krishna in the underlying action.
- The Finkelstein firm filed an answer on behalf of Dilip, Gaurang, and Devyani in the underlying action. (See Hoge Fenton's Separate Statement of Undisputed Facts ["SSUF"] at Nos. 102, 106, 109, 113, 118-120, 122-123, 125-130, 134-135, 141-144.)

In addition to these material facts, Hoge Fenton also provides Dilip's responses in discovery. For example, in his December 2, 2025, the following exchange took place at Dilip's deposition:

Q: Paragraph 12 of the Cross-Complaint, the very first sentence says, quote: "On information and belief Hoge Fenton never clarified, either internally or with Dilip or any other Krishna shareholder, who specifically Hoge Fenton was representing regarding this matter." Do you see that?

A: Yes.

Q: What was your understanding as to who the client was with Hoge Fenton in this transaction?

A: Can you repeat your question one more time, please?

Q. Sure. What was your understanding as to who the client was with Hoge Fenton in this transaction?

A. Krishna Mountain View.

(Hoge Fenton's SSUF at No. 121, emphasis added.)

Also, in the underlying action, Dilip served the following verified responses to special interrogatories propounded by Bharat:

SPECIAL INTERROGATORIES NO. 6: IDENTIFY the attorney who represented DILIP with respect to the RELEASE AGREEMENT.

RESPONSE TO NO. 6: None.

SPECIAL INTERROGATORIES NO. 7: IDENTIFY the attorney who represented KRISHNA with respect to the release agreement.

RESPONSE TO NO. 7: Hoge Fenton.

(Hoge Fenton's SSUF at No. 150.)

The court finds *De Meo*, cited by Hoge Fenton, to be instructive. There, the Fourth Appellate District upheld the granting of a summary judgment motion by a law firm (Cooley) against a limited liability company member, concluding there was no implied attorney-client relationship. Applying the rules governing implied contracts (Civ. Code, § 1621), the appellate court determined there was no implied attorney-client relationship because the undisputed facts established the firm did not reach a mutual agreement with the member that it would not act adversely to the member, did not indicate any intent to enter into such a relationship with the member, and did not conduct itself in a way that would reasonably cause the member to believe the firm's attorney would protect the member's individual interests. (*De Meo, supra*, 115 Cal.App.5th at p. 34.)

The Court of Appeal also found that certain other factors weighed against the existence of an implied attorney-client relationship: (1) Cooley and De Meo had very little contact over the years, and the limited communication that did take place points away from any attorney-client relationship; (2) immediately upon learning of the 2021 transaction, De Meo took steps to hire a law firm, other than Cooley, to represent him; and (3) after the October 16, 2021 call, De Meo did not rely on Cooley to negotiate on his behalf with respect to the 2021 transaction. (*De Meo, supra*, 115 Cal.App.5th at p. 35.) Of consequence was also plaintiff's deposition testimony:

“Most significantly, De Meo confirmed during his deposition that Hallman Rice said ‘they weren’t [his] lawyers’ and ‘made it clear’ that ‘[t]hey believed they weren’t.’ Because ‘ “the very heart of this kind of [implied] agreement is an intent to promise’ ” ’ [citation], **Hallman-Rice’s statement to De Meo that she believed Cooley did not represent him weighs strongly against finding the existence of an implied attorney-client agreement.**” (*De Meo, supra*, 115 Cal.App.5th at p. 34, emphasis added.)

Similarly, Hoge Fenton submits evidence showing that it did not have an implied attorney-client relationship with Cross-Complainants as: (1) Dilip admitted at deposition that Hoge Fenton represented Krishna; (2) Dilip hired separate counsel to represent him; (3) Hoge Fenton had no contact with Devyani and Gaurang; and (4) Krishna paid the fees Hoge Fenton charged for preparing the General Release Agreement and Employment Agreement. Based on this evidence and the aforementioned material facts, the court finds Hoge Fenton has met its initial burden on summary judgment.

In opposition, Cross-Complaints assert triable issues of material fact exist regarding whether an implied attorney-client relationship exists with Hoge Fenton. In support, Cross-Complainants direct the court to *Responsible Citizens v. Super. Ct.* (1993) 16 Cal.App.4th 1717 (*Responsible Citizens*), a Fifth Appellate District decision, addressing factors relevant to whether an implied attorney-client relationship has been established with individual partners in a partnership:

“Without any attempt at being exhaustive, we can identify some factors which might support, or undercut, implication of an attorney-client relationship with an individual partner in any particular case. The type and size of the partnership obviously have a bearing, as already noted. So do the nature and scope of the attorney’s engagement by the partnership. The kind and extent of contacts, if any, between the attorney and the

individual partner might be important factors. The same is true as to the attorney's access to information (e.g., partnership financial information) relating to the individual partner's interests." (*Responsible Citizens*, *supra*, at p. 1733.)

In support, Cross-Complainants rely on the following additional material facts in their separate statement in connection with their opposition:

- Hoge Fenton drafted the Employment Agreement pertaining to Dilip's compensation at Krishna.
- Hoge Fenton drafted a General Release Agreement pertaining to Dilip's compensation at Krishna.
- Sarju Naran prepared two agreements related to Krishna's compensation of Dilip.
- The December 6, 2022, email from Dilip to Hoge Fenton attorney Sblend Sblendorio stated that the matter "has to do with the past compensation and forward going compensation."
- The Notice of Special Meeting of Shareholders drafted by Hoge Fenton included agenda items concerning the "Fair Compensation Dispute with Chief Executive Officer," ratification of Dilip's Employment Agreement, and ratification of a Release Agreement regarding Dilip's past compensation.
- At the January 31, 2023 shareholders meeting, Krishna approved and ratified the Employment Agreement and General Release Agreement prepared by Hoge Fenton.
- The March 8, 2023 letter authored by Hoge Fenton was addressed to objections raised by Bharat concerning the Employment Agreement and Release Agreement relating to Dilip's compensation.
- The litigation filed by Bharat alleged breach of fiduciary duty, abuse of control, corporate waste, and unjust enrichment arising from disputes concerning Dilip's compensation.
- The Employment Agreement and Release Agreement prepared by Hoge Fenton were central subjects of the shareholder dispute and subsequent litigation. (See Cross-Complainants' Additional Facts at Nos. 1-9; OPP at pp. 12:8-14:15.)

Here, the court agrees with Cross-Complainants that Krishna, being a closely held corporation with only four equal shareholders, is a factor that weighs in favor of an implied attorney-client relationship. (See *Sprengel*, *supra*, 40 Cal.App.5th at p. 1046 ["As Sprengel correctly notes, Purposeful Press's status as an entity comprised of only two 50 percent shareholders is a factor that weighs in support of an attorney-client relationship."]; see also *Johnson v. Super. Ct.* (1995) 38 Cal.App.4th 463, 476 ["The argument is that representation of [an entity with] few members may suggest an individual representation of the members"].) But, there is very little substantive argument and minimal evidence in opposition addressing the remaining factors outlined in *Responsible Citizens* which include: (1) nature and scope of attorney's engagement by the partnership; (2) kind and extent of contact between the attorney and individual partners; and (3) the attorney's access to information relating to the individual partner's interests. For example, there is no legal authority cited in the opposition which establishes an implied attorney-client relationship based on the drafting of the various agreements and the shareholder notices. Nor do Cross-Complainants dispute that Hoge Fenton ever had contact with Gaurang and Devyani. And, perhaps most critical, none of the cited evidence demonstrates that Hoge Fenton's actions were to intended to create an attorney-client relationship with Cross-

Complainants and benefit each of them individually. Instead, all of these facts, taken together, establish as a matter of law that Hoge Fenton and Cross-Complainants did not enter into an implied attorney-client relationship.

Alternatively, Cross-Complainants, in opposition, contend triable issues of material fact exist as to whether Cross-Complainants were intended beneficiaries of Hoge Fenton's services. (Cross-Complainants' Additional Facts at Nos. 1-9; OPP at pp. 14:16-16:3.)

"An attorney's liability for professional negligence does not ordinarily extend beyond the client except in limited circumstances. In California, the attorney's duty to non-clients depends upon 'a judicial weighing of the policy considerations for and against the imposition of liability under the circumstances. [Citations.]' [Citation.] '[The] determination whether in a specific case the [attorney] will be held liable to a third person not in privity is a matter of policy and involves the balancing of various factors, among which are the extent to which the transaction was intended to affect the plaintiff, the foreseeability of harm to [plaintiff], the degree of certainty that the plaintiff suffered injury, the closeness of the connection between the [attorney's] conduct and the injury, and the policy of preventing future harm. [Citation.]' [Citation.]" (*St. Paul Title Co. v. Meier* (1986) 181 Cal.App.3d 948, 950-951.)

But, as pointed out in the reply papers, the court cannot consider the intended beneficiary theory of liability as it has not been pled in the cross-complaint. (Reply at pp. 7:6-8:24.) "A 'plaintiff cannot bring up new, unpleaded issues in his or her opposing papers. [Citation.]' [Citation.] A plaintiff wishing 'to rely upon unpleaded theories to defeat summary judgment' must move to amend the complaint before the hearing. [Citations.]" (*Knapp v. Doherty* (2004) 123 Cal.App.4th 76, 90.) No such motion to amend is before the court and this court cannot rely on an unpleaded theory to defeat the instant motion for summary judgment. (See *Whelihan v. Espinoza* (2003) 110 Cal.App.4th 1566, 1576 ["a party cannot successfully resist summary judgment on a theory not pleaded"]; *Laabs v. City of Victorville* (2008) 163 Cal.App.4th 1242, 1258, fn. 7 ["To allow an issue that has not been pled to be raised in opposition to a motion for summary judgment in the absence of an amended pleading, allows nothing more than a moving target."]; see also *Millard v. Biosources, Inc.* (2007) 156 Cal.App.4th 1338, 1353 [plaintiff whose complaint alleged negligence but not a theory of negligence per se and who did not seek to amend complaint to include such allegations cannot defeat summary judgment by raising a theory of negligence per se].)

Therefore, as Cross-Complainants fail to raise any triable issue of material fact, there is no viable claim for professional negligence.

First and Second Causes of Action: Implied/Equitable Indemnity and Contribution

The cross-complaint also alleges claims for implied/equitable indemnity and contribution. As these are derivative causes of action, the survival of these claims depends on the outcome of the motion for summary judgment with respect to the professional negligence cause of action. Since there is no viable claim for professional negligence, the derivative claims for indemnity and contribution also fail.

Accordingly, the motion for summary judgment is GRANTED.

Disposition

The motion for summary judgment to the cross-complaint is GRANTED.

The court will prepare the order.

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Calendar line 3

Case Name: *Richard Chamberlain v. Santa Clara County Public Defender's Office, et al.*

Case No.: 25CV456680

PLAINTIFF'S MOTION TO COMPEL

Plaintiff Richard Chamberlain moves to compel named Defendant Santa Clara County District Attorney's Office ("DAO") to serve verified responses, without objection, to Plaintiff's First Set of Interrogatories (Set One), and seeks \$1,500 in monetary sanctions.

A plaintiff may propound interrogatories to a party only after the party has been served with the summons or has appeared in the action. (Code Civ. Proc., § 2030.020, subd. (b).) If a party to whom interrogatories are directed fails to respond, the propounding party may move to compel responses. (Id., § 2030.290, subd. (b).)

Here, Plaintiff electronically served the interrogatories on December 15, 2025. The proof of service identifies Deputy County Counsel Mark Bernal as a recipient. Mr. Bernal's declaration, however, establishes that he represents the Santa Clara County Public Defender's Office, not the DAO, and that the DAO has neither been served with the summons and complaint nor appeared in this action. Plaintiff has not shown otherwise.

Accordingly, Plaintiff has not established that the interrogatories were properly propounded on the DAO or that the DAO was subject to a duty to respond under Code of Civil Procedure section 2030.020. The statutory basis for an order compelling responses under section 2030.290 is therefore absent.

The Court need not determine on this motion whether the DAO is a proper defendant or separately suable entity. Nothing in this ruling precludes Plaintiff from pursuing discovery through procedures authorized by the Code of Civil Procedure.

Accordingly, Plaintiff's Motion to Compel Responses to Plaintiff's First Set of Interrogatories (Set One) to Defendant Santa Clara County District Attorney's Office is DENIED without prejudice. The request for \$1,500 in monetary sanctions is DENIED as not applicable.

The Court will prepare the Order.

Calendar line 4

Case Name: *JPMorgan Chase Bank, N.a v Holly Reyes*

Case No. 25CV464505

This action was filed by Plaintiff on April 25, 2025. Defendant failed to file and Answer and Plaintiff subsequently submitted a Request for Default and Default Judgment on or around August 12, 2025. A Default Judgment was entered against Defendant on January 30, 2026. Thereafter, Plaintiff received notice that Defendant filed for bankruptcy on January 9, 2026, imposing an automatic stay of this case.

Plaintiff now requests pursuant to California Code of Civil Procedure 473(d) that the Default Judgment be vacated and the instant case be dismissed without prejudice. Good cause shown, the motion is GRANTED.

Plaintiff to prepare the final proposed order, accompanied by the necessary Form EFS-020 within 7 days of the hearing.

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Calendar Line 6

Case Name: *Brendan Patrick McCloskey v. City Of San Josse, et al.*

Case No. 25CV474909

DEFENDANT’S MOTION TO DISMISS**Background**

Plaintiff filed this action on September 11, 2025. Plaintiff subsequently passed away later that month from an unrelated incident. Plaintiff's counsel has since withdrawn from the action. No personal representative or successor in interest has appeared, and no motion has been filed seeking to continue the action on Plaintiff's behalf.

Defendant City of San Jose represents that it provided notice to Plaintiff's mother concerning the status of the case. Defendant received no response.

Analysis

A pending action does not necessarily abate upon the death of a party. Code of Civil Procedure section 377.21 provides that "[a] pending action or proceeding does not abate by the death of a party if the cause of action survives." Section 377.20, subdivision (a), similarly provides that, except as otherwise provided by statute, a cause of action is not lost by reason of a person's death, but survives subject to the applicable limitations period.

Where a person who commenced an action dies, Code of Civil Procedure section 377.31 provides that, on motion, the Court shall allow a pending action that does not abate to be continued by the decedent's personal representative or, if none, by the decedent's successor in interest. Section 377.32 sets forth the requirements for a person seeking to act as the decedent's successor in interest, including the filing of the required declaration and a certified copy of the decedent's death certificate.

Thus, Plaintiff's death, standing alone, does not require dismissal. At the same time, the record reflects that Plaintiff has been deceased since September 2025, Plaintiff's counsel has withdrawn, and no person authorized to prosecute the action has come forward during the ensuing months.

The Court finds it appropriate to defer ruling on Defendant's motion to allow reasonable notice to persons who may have authority to continue the action and an opportunity for such person to seek continuation of the action pursuant to section 377.31.

California Rules of Court, rule 3.1342, which governs motions to dismiss for delay in prosecution, expressly permits the Court, where the circumstances warrant, to "continue or defer its ruling" pending performance of conditions necessary to effectuate substantial justice. The rule also directs the Court to consider all matters relevant to a proper determination, including the court's file, the nature of the case, the extent of any delay, and whether the interests of justice are best served by dismissal or continuation of the case.

Here, a continuance is appropriate. Plaintiff died shortly after filing the action, and Plaintiff's counsel has withdrawn. Although Defendant has attempted to notify Plaintiff's mother, there is no indication in the present record that Plaintiff's mother is Plaintiff's personal representative or successor in interest. The Court therefore finds it appropriate to provide a reasonable opportunity for any person with authority to act on Plaintiff's behalf to come forward before ruling on Defendant's request for dismissal.

Accordingly, the hearing on Defendant's Motion to Dismiss is CONTINUED to October 23, 2026.

Any person seeking to continue the action on Plaintiff's behalf should, before the continued hearing, file an appropriate motion pursuant to Code of Civil Procedure section 377.31 and comply with the requirements of section 377.32.

If no personal representative or successor in interest appears and takes appropriate steps to establish authority to continue the action by the continued hearing, the Court will consider Defendant's Motion to Dismiss on the record then before it.

Notice

The **Clerk of the Court shall serve a copy of this order** on:

1. Plaintiff's former counsel of record;
2. Plaintiff's last known address as reflected in the court file; and
3. Plaintiff's parents, at the address provided to the Court or reflected in the court's records, if any. If the court file identifies a personal representative, executor, administrator, or other person claiming to be Plaintiff's successor in interest, the Clerk shall also serve a copy of this order on that person at the address reflected in the court's records.

Service of this order does not constitute a determination that such person is Plaintiff's personal representative or successor in interest. Any person seeking to continue the action must establish their authority in accordance with Code of Civil Procedure sections 377.31 and 377.32.

The hearing on Defendant's Motion to Dismiss is CONTINUED to October 23, 2026, at 9:00 a.m., in Department 12.

Calendar Line 7**Case Name:** *Ramachandra v. Narasegowda et al.***Case No.:** 25CV375239**DEFENDANT'S MOTION TO STAY PROCEEDINGS AND MOTION FOR DECLARATORY RELIEF**

Defendant Surakshith Mysore Narasegowda moves to stay this partition action pending resolution of Plaintiff's appeal from the judgment of the Family Court at Mysuru, India, and also seeks declaratory relief concerning the effect of the Indian proceedings on the parties' rights in the California property.

Motion to Stay

A California court has inherent authority to stay proceedings in the interests of justice and judicial economy. Where an action involving the same parties and subject matter is pending in another jurisdiction, a stay is not a matter of right but rests within the trial court's discretion. The Court considers, among other things, the importance of avoiding multiple litigation and conflicts between jurisdictions and whether the rights of the parties can best be determined in the other proceeding. (*Farmland Irrigation Co. v. Dopplmaier* (1957) 48 Cal.2d 208, 215.)

The Indian Family Court dissolved the parties' marriage but expressly declined to adjudicate their rights in the California property. The judgment stated that Plaintiff would have to pursue separate proceedings concerning her claimed investment in the property after valuation and adjudication of the parties' rights and liabilities.

This action, by contrast, seeks partition of real property located in California. Under Code of Civil Procedure section 872.710, the Court is to determine at trial whether a plaintiff has the right to partition, and partition of concurrent interests is generally a matter of right absent a valid waiver.

The pending Indian appeal concerns Plaintiff's challenge to the denial of monetary/alimony relief. Defendant has not shown that the appeal will determine title to, partition of, or the parties' ownership interests in the California property. Although the Indian proceeding and this action may involve some overlapping factual matters concerning the property and the parties' financial contributions, that limited overlap does not establish that the Indian appeal will resolve the issues presented in this partition action.

Defendant's concern regarding potential double recovery is likewise insufficient to warrant a stay on the present record. The possibility that a future Indian ruling could create an issue concerning monetary relief, credits, or offsets is speculative. The Court can adjudicate the parties' respective interests in the California property and address the issues properly presented in this action. A stay would delay resolution of Plaintiff's claimed interest in California real property without a demonstrated likelihood that the Indian appeal will resolve or materially advance the issues before this Court.

Accordingly, the Motion to Stay Proceedings is DENIED.

Request for Declaratory Relief

Defendant also seeks declarations concerning whether the Indian divorce decree can alter the characterization of the California property and whether this Court has jurisdiction to adjudicate the property while the Indian appeal is pending.

Code of Civil Procedure section 1060 authorizes a person claiming rights or duties with respect to property to bring an original action or cross-complaint for declaratory relief. Defendant has not established a basis for obtaining the requested affirmative declarations by noticed motion.

The requested declarations are unnecessary to resolution of this action. The Court may determine the parties' respective interests in the California property and their right to partition within this proceeding. The pendency of the Indian appeal does not, on the present record, provide a basis for staying that determination.

Accordingly, the Request for Declaratory Relief is DENIED.

DISPOSITION

Defendant's Motion to Stay Proceedings is DENIED.

Defendant's Request for Declaratory Relief is DENIED.

The action shall proceed.

Plaintiff to prepare the proposed final order, accompanied by the necessary Form EFS-020 within 7 days of the hearing.

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Calendar Line 8

Case Name: *GuideOne Insurance Company v. Quickbooks Online Payroll, Inc. et al.*

Case No.: 26CV487361

DEFENDANT’S MOTION TO COMPEL ARBITRATION**BACKGROUND**

Plaintiff GuideOne Insurance Company (“Plaintiff”) brings this subrogation action against Defendant QuickBooks Online Payroll, Inc. (“Defendant” or “QuickBooks”), asserting claims for fraud and indebtedness. Plaintiff alleges that on November 5, 2024, it had in effect an insurance policy with Reality Church Ventura (“Insured”) providing fidelity and forgery coverage. According to the Complaint, Defendant, as the Insured’s payment processor, made a deposit error causing financial loss to the Insured. Plaintiff paid its Insured \$11,560.00 under the policy and now seeks to recover that amount in subrogation.

Defendant moves to compel arbitration and argues that the Insured agreed to arbitrate all disputes arising from its use of Defendant’s services and that Plaintiff, as subrogee, is bound by that agreement. The motion is unopposed.

LEGAL STANDARD

The Federal Arbitration Act (“FAA”) governs the arbitration agreement. The arbitration agreement in effect in November 2017 states: “The Federal Arbitration Act governs the interpretation and enforcement of this provision; the arbitrator shall apply California law to all other matter.” The current arbitration agreement contains materially identical language: “You agree that the U.S. Federal Arbitration Act governs the interpretation and enforcement of this arbitration provision, and that you and Intuit are each waiving the right to a trial by jury or to participate in a class action.” The agreement therefore expressly provides that the FAA governs interpretation and enforcement of the arbitration provision.

Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Under California law, a party seeking to compel arbitration bears the burden of establishing the existence of a valid arbitration agreement. (Code Civ. Proc., § 1281.2; *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165-166.) Once the moving party establishes the existence of the agreement, the burden shifts to the opposing party to establish a defense to enforcement.

ANALYSIS

Defendant presents evidence of the Terms of Service applicable to QuickBooks users from 2017 through 2026, each containing an arbitration provision. (See Gebbia Decl., Exs. A-N.) Defendant has therefore met its initial burden of establishing the existence of an arbitration provision applicable to QuickBooks users. (*Gamboa, supra*, 72 Cal.App.5th at pp. 165-166 [moving party may meet its burden by attaching a copy of the arbitration agreement].)

At issue, however, is whether the Insured manifested assent to the “sign-in wrap” agreement and whether Plaintiff, as the subrogee, can be compelled to arbitrate its claims. The Court finds in the affirmative as to both issues.

The “Sign-In Wrap” Agreement is Enforceable

The Insured manifested assent to the QuickBooks Terms of Service, including the arbitration provision, when it accessed QuickBooks’ online services. To access QuickBooks’ online services, a user is directed to a “Sign In” webpage that requires the user to click a “Sign In” button and informs the user that “[b]y selecting Sign In, you agree to Intuit terms[.]” (Gebbia Decl., ¶ 20.) This interface constitutes a “sign-in wrap” agreement.

““Sign-in wrap agreements . . . include a textual notice indicating the user will be bound by the terms, but they do not require the consumer to review those terms or to expressly manifest their assent to those terms by checking a box or clicking an ‘I agree’ button. Instead, the consumer is purportedly bound by clicking some other button that they would otherwise need to click to continue with their transaction or their use of the website—most frequently, a button that allows the consumer to ‘sign in’ or ‘sign up’ for an account.”” (*Cruz v. Tapestry* (2025) 113 Cal.App.5th 943, 955 [internal citations omitted] [emphasis in original].) “Because ““the consumer’s assent [to this type of agreement] is “largely passive,” . . . the existence of a contract turns on whether a reasonably prudent offeree would be on inquiry notice of the terms at issue.”” (*Id.* at p. 955 [internal citations omitted] [emphasis in original].)

When the transaction does not involve an ongoing contractual relationship, the consumer is less likely to be looking for contractual terms. (*Cruz, supra*, 113 Cal.App.5th at pp. 955-956.) Unlike *Cruz*, where the appellants made a one-time purchase of expensive merchandise, the Insured here used QuickBooks as an ongoing service. The Insured created a QuickBooks Online account on November 27, 2017, and later enrolled in the QuickBooks Bill Pay service on May 22, 2024. Thus, given the ongoing nature of the relationship, the Insured was more likely to understand that its use of the service was governed by contractual terms.

Furthermore, the hyperlink to the Terms was conspicuous. The underlined text “Intuit terms” on the website and “Terms” on the mobile application appeared in a different-colored font and was hyperlinked to the applicable Terms. (Gebbia Decl., ¶ 20.) The text was positioned directly below the “Sign In” button. (*Ibid.*) A user could not use or access QuickBooks’ online services without creating an account and signing in. (Gebbia Decl., ¶ 24.) The placement of the notice immediately below the button the user was required to click, combined with the contrasting font and underlining, provided sufficient inquiry notice of the Terms.

The Insured continued to access QuickBooks after being presented with this notice. By clicking “Sign In” and continuing to use the service in the face of conspicuous notice that doing so constituted agreement to the Intuit Terms, the Insured manifested assent to those Terms. Accordingly, the Court finds that the sign-in wrap agreement, including its arbitration provision, is enforceable.

Plaintiff is Bound by the Arbitration Agreement as the Subrogee

Plaintiff is bound to arbitrate its claims against Defendant because of its status as the Insured’s subrogee. “In the insurance context, equitable subrogation generally involves the substitution of the insurer in the position of its insured in order to seek reimbursement from responsible third parties for the loss paid the insured by the insurer.” (*Crowley Maritime Corp. v. Boston Old Colony Ins.* (2008) 158 Cal.App.4th 1061, 1067.) “The right of subrogation is purely derivative. An insurer entitled to subrogation is in the same position as an assignee of the insured’s claim, and succeeds only to the rights of the insured.” (*Fireman’s Fund Ins. Co. v. Maryland Casualty Co.* (1998) 65 Cal.App.4th 1279, 1292.) “Subrogation places the insurer in the shoes of its insured to the extent of its payment.” (*Progressive West Ins. Co. v. Superior Court* (2005) 135 Cal.App.4th 263, 272.)

Federal courts applying California law have held that a subrogated insurer may be compelled to arbitrate claims that derive from its insured’s contractual rights. In *Nationwide Agribusiness Ins. Co. v. Buhler Barth GMBH* (E.D. Cal. Oct. 30, 2015) No. 1:15-cv-00582-JAM-EPG, 2015 U.S. Dist. LEXIS 147717, at pp. 12-13, the court held that a subrogated insurer was bound to arbitrate because the insurer “stands in the shoes” of the insured and acquires only those rights possessed by the insured. The court noted that the Ninth Circuit had adopted the majority view that, under ordinary contract and agency principles, nonsignatories may in appropriate circumstances be bound by arbitration agreements. (*Id.* at p. 12 [quoting *Letizia v. Prudential Bache Securities, Inc.* (9th Cir. 1986) 802 F.2d 1185, 1187-1188].)

Similarly, in *Allianz Global Risk U.S. Ins. Co. v. GE* (9th Cir. 2012) 470 Fed.Appx. 652, 654, the Ninth Circuit held that a subrogated insurer could enforce an arbitration provision contained in the agreement between the insured and the defendant. The court explained that a subrogee “stands in the shoes” of the subrogor and that California law did not support treating the subrogee differently with respect to arbitration than with respect to other contractual rights. The Ninth Circuit declined to follow *Valley Casework, Inc. v. Comfort Construction, Inc.* (1999) 76 Cal.App.4th 1013, to the extent that case held that a nonsignatory subrogee could not be compelled to arbitrate.

Although *Allianz* is an unpublished federal appellate decision and therefore is not binding precedent, its reasoning is consistent with California’s established rule that an insurer’s subrogation rights are derivative and that the insurer acquires no greater rights than those possessed by its insured. The Court therefore finds its reasoning persuasive.

Valley Casework does not compel a different result. There, the Court of Appeal concluded that a nonsignatory insurer could not be compelled to arbitrate under the circumstances presented. (*Valley Casework, supra*, 76 Cal.App.4th at pp. 1019-1020.) Here, however, the Court finds the reasoning of *Allianz* persuasive in light of the derivative nature of equitable subrogation. Plaintiff seeks to recover from Defendant based on the same alleged loss and alleged conduct

giving rise to the Insured's rights against Defendant. Plaintiff therefore stands in the Insured's shoes and is subject to the same contractual limitations applicable to those rights, including the arbitration provision.

Accordingly, Plaintiff, as the Insured's subrogee, may be compelled to arbitrate the claims asserted against Defendant.

The Arbitration Agreement Encompasses Plaintiff's Claims

The plain language of the arbitration agreement is broad. A "broad" clause includes those using language such as "any claim arising from or related to this agreement" or "arising in connection with the agreement." It has long been the rule in California that a broadly worded arbitration clause "may extend to tort claims that may arise under or from the contractual relationship . . . At most the requirement is that the dispute must arise out of the contract." (*Howard v. Goldbloom* (2018) 30 Cal.App.5th 659, 663-664 [quoting *Rice v. Downs* (2016) 248 Cal.App.4th 175, 186].) "For a party's claims to come within the scope of such a clause, the factual allegations of the complaint 'need only "touch matters" covered by the contract containing the arbitration clause.'" (*Ramos v. Superior Court* (2018) 28 Cal.App.5th 1042, 1052.)

Here, the arbitration agreement requires QuickBooks customers such as the Insured to arbitrate "any dispute, claim or controversy arising out of or relating in any way to the Platform or this Agreement (a 'Claim')." (Gebbia Decl., Exs. A-N.) As noted above, the Terms of Service contain materially identical arbitration provisions. (*Ibid.*)

Plaintiff's subrogation claims arise directly from the Insured's use of the QuickBooks platform and services. The Complaint alleges that Defendant, in providing payment-processing services through the QuickBooks platform, made a deposit error that caused the Insured's loss. Plaintiff's fraud and indebtedness claims therefore arise from and relate to the services provided under the QuickBooks Terms. The claims accordingly fall within the broad scope of the arbitration provision.

Plaintiff filed no opposition to the motion. The Court therefore considers Defendant's showing uncontroverted. Nevertheless, the Court has independently determined that Defendant established the existence of an enforceable arbitration agreement and that the claims asserted by Plaintiff fall within its scope.

Accordingly, the motion to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration.

DISPOSITION

The motion to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration.

Pursuant to California Rules of Court, rule 3.650, the party who requested or caused the stay shall serve and file notice of the stay, together with a copy of the order granting the stay, as required by that rule.

The Court will prepare the order.